***Solution:***

Construction of Price Index:

| Commodities | Price in 1996 (₹) ($p_0$) | Price in 1997 (₹) ($p_1$) |
|---|---|---|
| Rice | 130 | 115 |
| Wheat | 80 | 65 |
| Sugar | 75 | 70 |
| Ragi | 95 | 90 |
| Oil | 105 | 105 |
| Dal | 35 | 20 |
| | $\sum p_0 = 520$ | $\sum p_1 = 465$ |

$$P_{01} = \frac{\sum p_1}{\sum p_0} \times 100$$

$$= \frac{465}{520} \times 100 = 89.42$$

Price Index in 1997, when compared to 1996 has fallen by 10.58%

## Example 6.2

Calculate Price Index Number for 2016 from the following data by simple aggregate method, taking 2016 as base year.

| Commodities | Price per kg | |
|---|---|---|
| | 2015 | 2016 |
| Apple | 100 | 140 |
| Orange | 30 | 40 |
| Pomegranate | 120 | 130 |
| Guava | 40 | 50 |

***Solution:***

| Commodities | 2015 ($p_0$) | 2016 ($p_1$) |
|---|---|---|
| Apple | 100 | 140 |
| Orange | 30 | 40 |
| Pomegranate | 120 | 130 |
| Guava | 40 | 50 |
| Total | 290 | 360 |

Price index: $P_{01} = \frac{\Sigma p_1}{\Sigma p_0} \times 100$

$$= \frac{360}{290} \times 100$$



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